

South Korea **Defense** export 2026

The K9 howitzer and K2 tank platforms anchoring a record USD 15.4 bn export year, the Poland engine, and the Middle East and Southeast Asia pipeline that follows

MARKET

South Korea

INDUSTRY

Defense export

YEAR

2026

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How we built this view

This view is built from two evidence streams: **primary inputs** — analyst synthesis, program tracking across Poland, the Gulf and Southeast Asia, and prime-contractor and offset-partner reads — and **secondary anchors** — procurement-agency export tallies, listed-company disclosures, and named defense-industry reporting. Every quantitative claim carries an explicit source tag.

PRIMARY INPUTS

Program and contract tracking

Deal-level tracking of framework and executive contracts — Poland K2 and K9, Chunmoo, Gulf air-defense, and the FA-50 and naval pipeline — surfacing signed value, delivery cadence, and localization terms not visible in headline export totals.

Analyst synthesis

KIRA in-house triangulation across disclosed inputs: procurement-agency export series, prime-contractor backlog disclosures, and program contract values. Tagged inline as [Kira estimates].

Offset and operator reads

Input from offset partners, localization-program participants, and regional procurement specialists closer to the buyer economics than aggregate export tallies.

SECONDARY ANCHORS

Procurement and trade authorities

Defense Acquisition Program Administration (DAPA) annual export series; SIPRI arms-transfer rankings; government export-ambition statements — cited inline by named source and period.

Listed-company disclosures

Results, backlog and contract disclosures of Hanwha Aerospace, Hyundai Rotem, LIG Nex1 and Korea Aerospace Industries; named defense-industry trade press, cited via English aliases.

Triangulated estimates

Where no single source covers a figure, we combine 2–3 inputs and disclose the method. Tagged [Kira estimates]. Approximately 24% of quantitative claims are KIRA-derived; 76% are externally cited.

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A platform-led rebound, building toward a top-four ambition.

Korean defense exports rebounded to **USD 15.4 bn in 2025, up 60.4% YoY** [DAPA 2025], recovering most of the ground lost after the 2022 peak. The engine is a narrow set of land and air platforms — the **K9 howitzer and K2 tank** — sold at scale into Poland, then carried into the Gulf and, for the first time, Southeast Asia.

DEFENSE EXPORTS 2025

USD 15.4 bn

+60.4% YoY · rebound year

DAPA 2025

K9 GLOBAL SPH SHARE

~52 %

155mm tracked howitzers

KOREABIZWIRE 2026

K2 POLAND 2ND CONTRACT

USD 6.5 bn

180 tanks · Aug 2025

KED 2025

BIG-4 ORDER BACKLOG Q3'25

~KRW 91 trn

Multi-year delivery pipeline

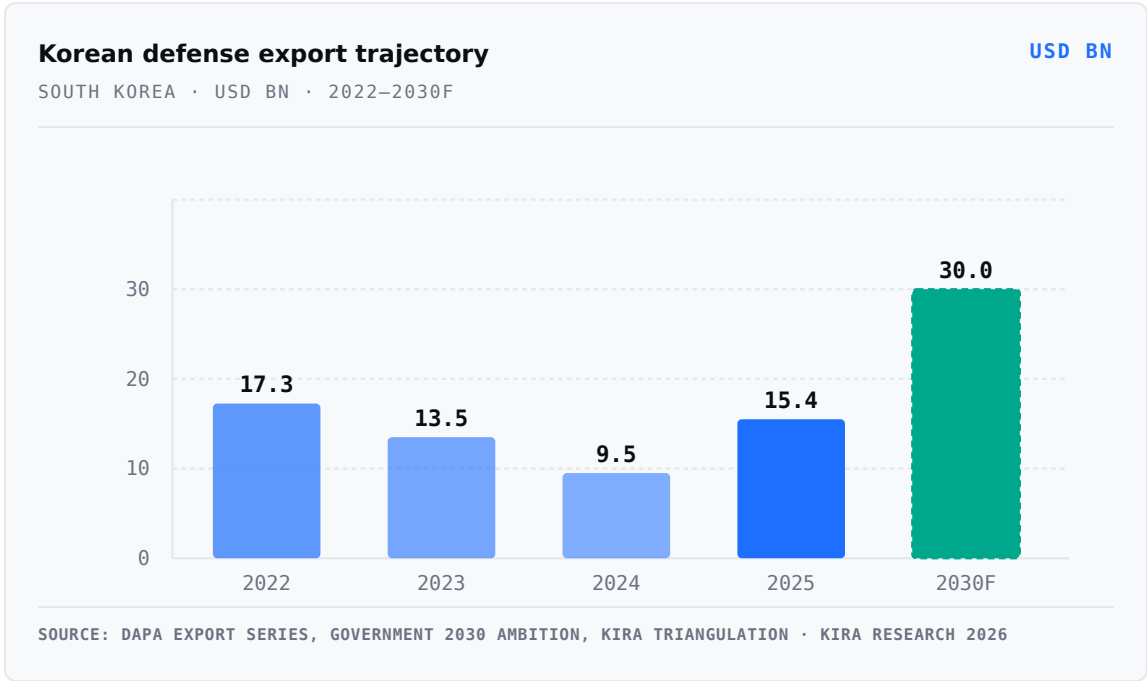
HERALD 2025

Rebound, not yet a new peak

Exports fell from a record **USD 17.3 bn in 2022 to USD 9.5 bn in 2024** before recovering to USD 15.4 bn in 2025 [DAPA 2025]. The 2025 figure missed the government's USD 20 bn target but reversed two years of decline, lifted by a USD 4.1 bn third Chunmoo contract with Poland signed in December [Seoul Economic 2026].

A platform-and-pipeline model

Growth concentrates in a few exportable platforms. The K9 holds roughly **52% of the global 155mm tracked-howitzer market** [KoreaBizwire 2026]; the K2 is scaling through a second Poland contract with local assembly [KED 2025]. Destinations widened from 14 to 17 countries [DAPA 2025].



SOURCE KEY · DAPA 2025 = Defense Acquisition Program Administration 2025 export results · Seoul Economic 2026 = Seoul Economic Daily K-defense USD 15.4 bn report 2026 · KoreaBizwire 2026 = Korea Bizwire K9 global market-share report 2026 · KED 2025 = KED Global Hyundai Rotem K2 Poland second-contract report 2025 · Herald 2025 = Korea Herald K-defense backlog & ranking report 2025

Five strategic implications for market participants.

Derived from the structural findings in this report. Each implication is anchored to a quantitative data point that market participants should treat as a **directional signal**, not a point forecast.

01 . Price the localization tax in The K2 second Poland contract assembles 63 of 180 units in-country with hull, turret and gun technology transfer [KED 2025]. Future European and Gulf wins will demand the same. Participants should treat local assembly and tech transfer as the cost of entry, not an exception. ANCHOR: 63/180 K2 built in Poland [KED 2025]	02 . Ride the platform concentration A narrow set of platforms carries the export book — the K9 holds ~52% of the global SPH market [KoreaBizwire 2026]. Suppliers and offset partners should anchor to the K9, K2, Chunmoo and FA-50 programs where backlog and follow-on demand are deepest. ANCHOR: ~52% K9 SPH share [KoreaBizwire 2026]	03 . Build the Gulf as the next Poland Korea's Middle East exports tripled to ~USD 748 m by 2024 [Herald ME 2025], led by a USD 3.2 bn Saudi Cheongung-II deal [GDC 2025]. Participants should mirror the Poland localization template for Saudi and UAE buyers pursuing their own defense-industrial bases. ANCHOR: USD 3.2 bn Saudi air-defense [GDC 2025]	04 . Open Southeast Asia deliberately Vietnam's USD 276 m K9 order is the platform's first SEA sale [KED VN 2025], alongside a 12-unit Philippine FA-50 follow-on [KED FA50 2025]. The region buys in smaller tranches; win on support packages and financing, not headline scale. ANCHOR: USD 276 m Vietnam K9, SEA first [KED VN 2025]	05 . Underwrite the backlog conversion Big-4 backlog reached ~KRW 91 trn at Q3 2025 [Herald 2025], with 2026 revenue forecast near KRW 50.6 trn [Seoul Economic 2026]. The risk is execution, not order intake; investors should track delivery cadence and local-content milestones. ANCHOR: KRW 91 trn Big-4 backlog [Herald 2025]
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SECTION 01

The export rebound

Exports snapped back to USD 15.4 bn in 2025 after a two-year slide, but the recovery is narrow and lumpy: **a handful of large land and missile contracts with Poland and the Gulf carry the book**, while the destination map widens from 14 to 17 countries — a market sized by program wins, not steady annual flow.

USD 15.4 BN 2025

TWO-YEAR SLIDE REVERSED

EUROPE LEADS

17 DESTINATIONS

A lumpy rebound, carried by a few large European and Gulf contracts.

Exports reached **USD 15.4 bn in 2025, +60.4% YoY** [DAPA 2025], recovering most of the drop from the 2022 peak. The book is concentrated: a single **USD 4.1 bn Chunmoo contract with Poland** in December was the decisive swing factor [Seoul Economic 2026], underscoring how program timing — not steady flow — drives the annual line.

Europe is the anchor region

Poland remains the single largest customer, layering K2, K9 and Chunmoo executive contracts on its 2022 framework [KED 2025]. Korea's NATO-member arms share reached **~8.6%, second only to the United States** [Herald 2025], as Romania, Finland and Norway added K9 orders [UPI 2026].

Breadth is widening

Destinations rose from **14 to 17 countries and projects from 21 to 28** in 2025 [DAPA 2025]. The Gulf and Southeast Asia entered the mix alongside Europe, easing the dependence on a single Poland cycle that has made the annual figure so volatile [Kira estimates].

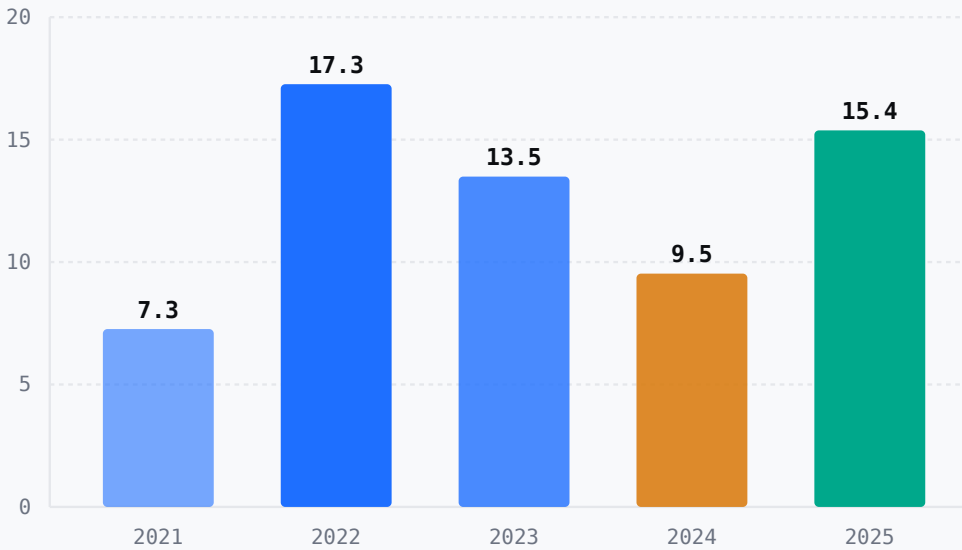
Still below the 2022 peak

At USD 15.4 bn, 2025 sits below the **USD 17.3 bn 2022 record** and the government's USD 20 bn target [DAPA 2025]. SIPRI ranked Korea the world's 10th-largest major-arms exporter over 2020–24 at a **2.2% global share** [SIPRI 2025], the base from which the top-four ambition is launched.

Defense exports by year

USD BN

SOUTH KOREA · USD BN · 2021–2025



SOURCE: DAPA ANNUAL EXPORT SERIES, KIRA TRIANGULATION · KIRA RESEARCH 2026

SOURCE KEY · DAPA 2025 = Defense Acquisition Program Administration 2025 export results (USD 15.4 bn, country & project count) · Seoul Economic 2026 = Seoul Economic Daily K-defense export & Poland Chunmoo report 2026 · KED 2025 = KED Global K2 Poland second-contract report 2025 · Herald 2025 = Korea Herald K-defense NATO-share & backlog report 2025 · UPI 2026 = UPI K9 Europe / Finland report 2026 · SIPRI 2025 = SIPRI arms-transfers commentary on South Korea 2025
SOUTH KOREA DEFENSE EXPORT 2026

Two land platforms — the K9 and K2 — carry most of the export book.

The K9 self-propelled howitzer holds roughly **52% of the global 155mm tracked-howitzer market**, with more than 1,500 units exported to over ten countries [KoreaBizwire 2026]. The K2 tank scaled through a **USD 6.5 bn second Poland contract for 180 units** in 2025 [KED 2025], with hull, turret and gun localization built into the terms.

The K9 is the export workhorse

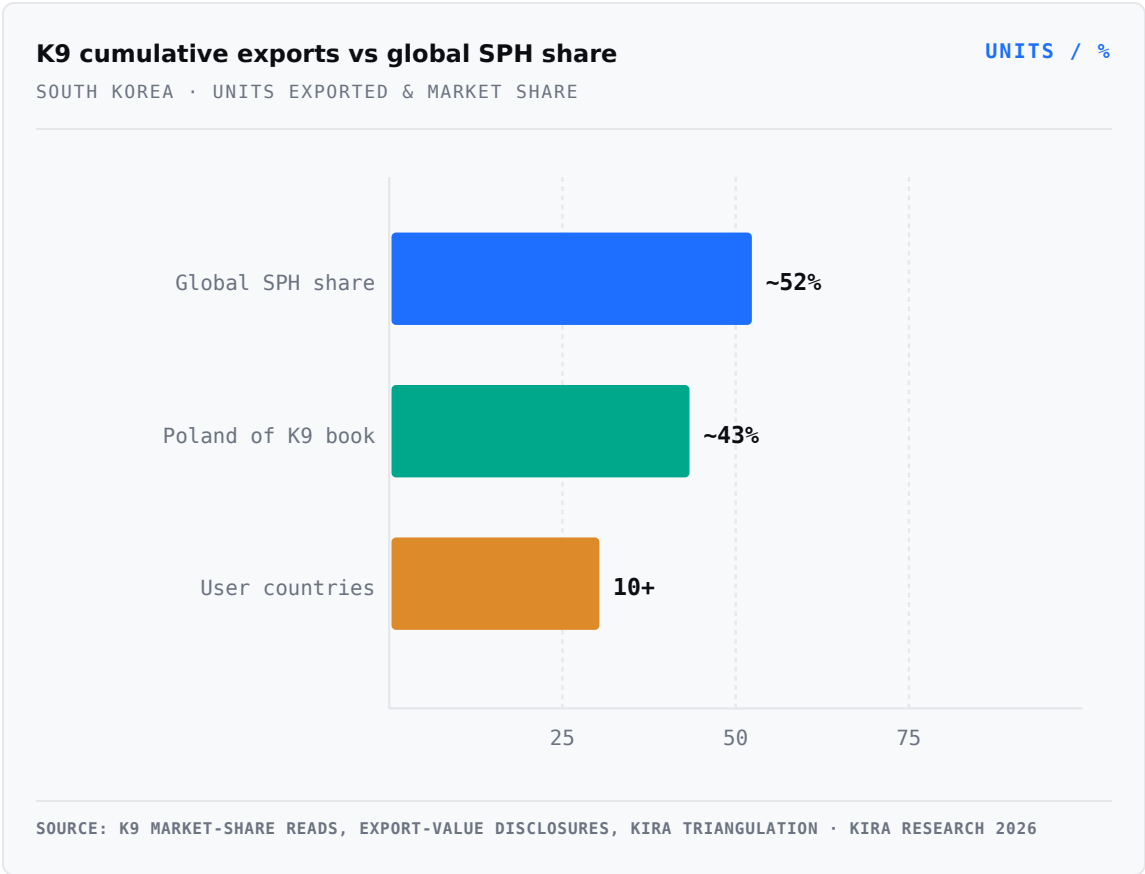
Cumulative K9 export value passed **KRW 14 trn** [Seoul Economic 2026], on sales to Poland, India, Norway, Turkey, Finland, Estonia, Australia, Egypt, Romania and Vietnam [KoreaBizwire 2026]. Romania joined as the tenth user-club member, and Norway and Finland added follow-on batches in 2025 [UPI 2026].

The K2 scales on localization

Hyundai Rotem's second Poland deal covers **180 K2 tanks worth ~USD 6.5 bn** [KED 2025]; 117 are built in Korea and 63 assembled in Poland by PGZ, with technology transfer for hull, turret, gun and suspension [Notes Poland 2026]. Localization is now the template for European land wins [Kira estimates].

Poland anchors the framework

Poland's 2022 framework covered **672 K9 howitzers and a large Chunmoo tranche** [KED 2025]; by 2025 it had received 364 K9 units and inked a third Chunmoo execution contract worth USD 4.1 bn [Seoul Economic 2026]. The framework still has multi-year delivery and follow-on volume to convert.



SOURCE KEY · KoreaBizwire 2026 = Korea Bizwire K9 global market-share & user-club report 2026 · Seoul Economic 2026 = Seoul Economic Daily Hanwha K9 export-value & Poland Chunmoo report 2026 · KED 2025 = KED Global K2 / K9 Poland contract reporting 2025 · Notes Poland 2026 = Notes From Poland K2 localization agreement report 2026 · UPI 2026 = UPI K9 Europe / Finland deal report 2026

SECTION 02

The next pipeline

Beyond Poland, the growth is regional. The Gulf has become a high-value air-defense market and Korea's Middle East exports **tripled in five years**; Southeast Asia opened with Vietnam's first K9 order and a Philippine FA-50 follow-on — buyers that demand localization, financing and support, not just hardware.

GULF AIR DEFENSE

SAUDI & UAE

VIETNAM K9

FA-50 IN SEA

The Gulf turns into a high-value market; Southeast Asia opens deliberately.

Korea's Middle East exports tripled from **USD 241 m in 2019 to ~USD 748 m in 2024** [Herald ME 2025], led by a USD 3.2 bn Saudi Cheongung-II air-defense deal [GDC 2025] and repeat UAE KM-SAM purchases. Southeast Asia opened with Vietnam's first K9 order and a 12-unit Philippine FA-50 follow-on [KED VN 2025] [KED FA50 2025].

The Gulf buys air defense at scale

Saudi Arabia signed a **USD 3.2 bn deal for the Cheongung-II (KM-SAM II)** system with LIG Nex1 [GDC 2025], and the UAE became a repeat KM-SAM buyer [WashInst 2025]. Gulf air-defense and MRO demand now anchors a multi-trillion-won regional market, with localization partnerships emerging [Kira estimates].

Southeast Asia is the deliberate opening

Hanwha Aerospace's **USD 276 m, 20-unit K9 sale to Vietnam** is the platform's first Southeast Asian win [KED VN 2025]. The Philippines added 12 FA-50 light combat aircraft worth ~USD 700 m [KED FA50 2025] and is pursuing KF-21 delivery later this decade [ArmyRec 2026].

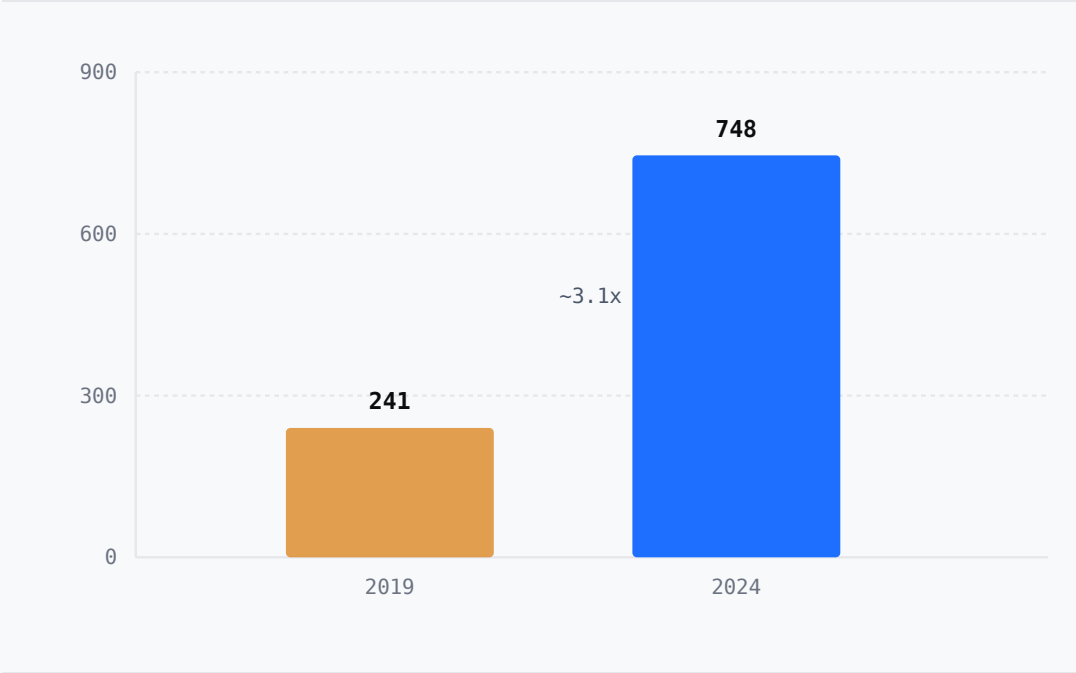
FA-50 is the regional air anchor

KAI has exported **140-plus FA-50 units to six countries** — the Philippines, Indonesia, Malaysia, Thailand, Iraq and Poland [Flight Global 2025]. Malaysia's 18-unit order and follow-on options give Korea an installed base for upgrades, support and KF-21 conversion across ASEAN [Kira estimates].

Middle East defense exports

USD M

SOUTH KOREA · USD M · 2019 VS 2024

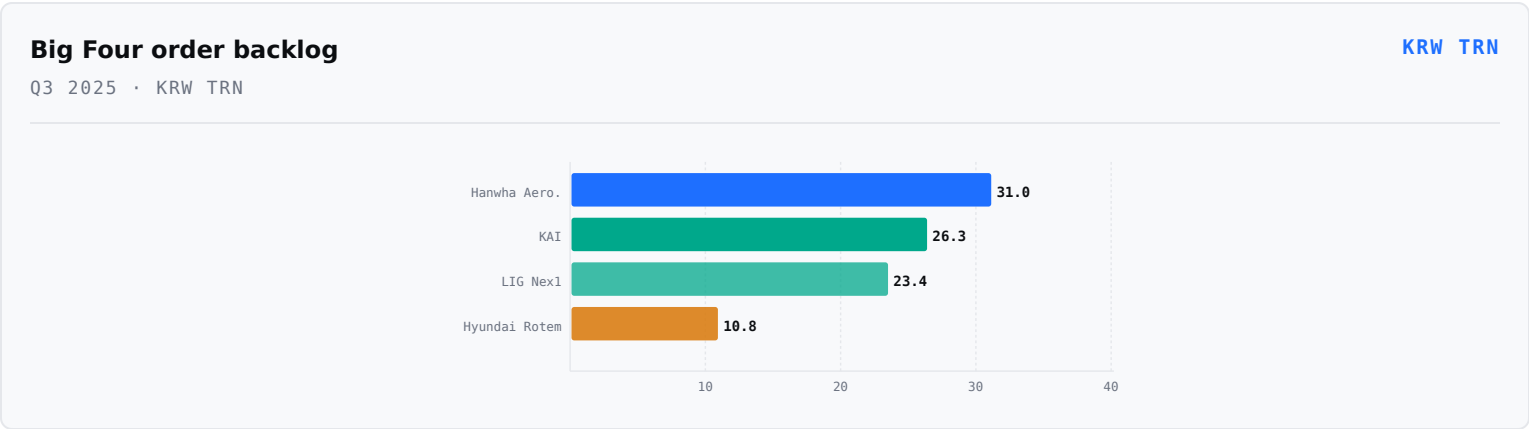


SOURCE: MIDDLE EAST EXPORT READS, KIRA TRIANGULATION · KIRA RESEARCH 2026

SOURCE KEY · Herald ME 2025 = Korea Herald Middle East defense-export tripling report 2025 · GDC 2025 = Global Defense Corp Saudi Cheongung-II USD 3.2 bn report 2025 · WashInst 2025 = Washington Institute Korea-Middle East defense localization analysis 2025 · KED VN 2025 = KED Global Hanwha K9 Vietnam deal report 2025 · KED FA50 2025 = KED Global KAI FA-50 Philippines deal report 2025 · Flight Global 2025 = Flight Global KAI FA-50 / KF-21 order report 2025 · ArmyRec 2026 = Army Recognition Philippines KF-21 request report 2026
SOUTH KOREA DEFENSE EXPORT 2026

Four primes split the export book by domain, not by overlap.

The export engine runs on a Big Four operating by division of labor: **Hanwha Aerospace** (K9, Chunmoo, space), **Hyundai Rotem** (K2 tanks), **LIG Nex1** (Cheongung air defense, missiles) and **KAI** (FA-50, KF-21). Combined Big-4 backlog reached **~KRW 91 trn at Q3 2025** [Herald 2025].



Record profits on export volume

Big-4 2025 operating-profit consensus reached a record **~KRW 5.2 trn**, roughly double 2024 [Herald 2025]. Hanwha Aerospace led on K9 and Chunmoo; Hyundai Rotem's profit jumped on K2 deliveries [Defence Blog 2025].

Big-4 OP 2025 (est.)	~KRW 5.2 trn
Big-4 backlog Q3'25	~KRW 91 trn
2026 revenue forecast	~KRW 50.6 trn

BACKLOG LEADER

RANK 01

Hanwha Aerospace

K9 · Chunmoo · Redback

Backlog Q3'25

~KRW 31.0 trn

K9 export value

>KRW 14 trn

2025 OP (est.)

~KRW 3.5 trn

The land-fires prime.

K9 and Chunmoo anchor the Poland book; record 2025 profit on artillery and missile deliveries [Defence Blog 2025].

RANK 02

KAI

FA-50 · KF-21 · KUH-1

Backlog 2025

~KRW 27.3 trn

FA-50 exported

140+ units

2025 OP (est.)

~KRW 0.32 trn

The air-platform prime.

FA-50 across six countries plus the first KF-21 mass-production contract [Flight Global 2025].

RANK 03

LIG Nex1

Cheongung · KM-SAM · missiles

Backlog Q3'25

~KRW 23.4 trn

Saudi deal

USD 3.2 bn

2025 OP (est.)

~KRW 0.35 trn

The air-defense prime.

Cheongung-II wins in Saudi, UAE and Iraq drive a high-value Gulf book [GDC 2025].

RANK 04

Hyundai Rotem

K2 tanks · armored vehicles

Backlog Q3'25

~KRW 10.8 trn

K2 Poland 2nd

USD 6.5 bn

2025 OP (est.)

~KRW 1.1 trn

The tank prime.

Second Poland contract for 180 K2s with local assembly drove a 2025 profit surge [KED 2025].

SOURCE KEY · Herald 2025 = Korea Herald K-defense Big-4 backlog & profit report 2025 · Defence Blog 2025 = Defence Blog Korean defense-firm record-profit report 2025 · Flight Global 2025 = Flight Global KAI orders & backlog report 2025 · GDC 2025 = Global Defense Corp Saudi Cheongung-II report 2025 · KED 2025 = KED Global Hyundai Rotem K2 Poland report 2025

AI lands first where it raises hit-rate and compresses the production line.

For an export book built on land and air-defense platforms, AI's near-term payoff is operational: **guided-munition accuracy, uncrewed-system pairing, and production throughput** on a backlog that must be delivered over years. Korean primes are embedding autonomy into next-generation platforms rather than selling AI as a standalone line [Kira estimates].

Precision and air defense

The Cheongung-II air-defense system is credited with a **~96% intercept-test success rate**, the kind of AI-assisted fire-control performance that anchors Gulf demand [Data Economy 2026]. Guided artillery and loitering munitions extend the same precision advantage across the land portfolio.

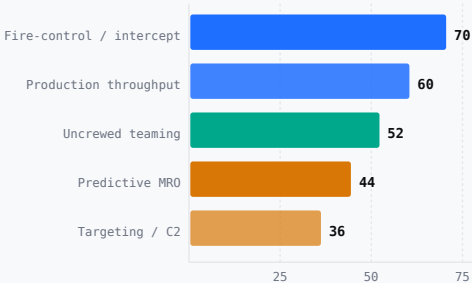
Uncrewed and manned-unmanned teaming

Primes are pairing crewed platforms with drones and robotic vehicles — the K2 and next-gen ground systems with uncrewed scouts, the KF-21 with loyal-wingman concepts — to keep the export portfolio competitive against US and European autonomy roadmaps [Kira estimates].

AI / autonomy leverage by use case

% LEVERAGE

KOREA DEFENSE · NEAR-TERM EXPORT IMPACT · EST.



SOURCE: KIRA OPERATOR READS & AUTONOMY TRIANGULATION · KIRA RESEARCH 2026

CHEONGUNG-II INTERCEPT RATE

~96%

AI-assisted fire control

DATA ECONOMY 2026

HIGHEST NEAR-TERM LEVER

Fire

Then production throughput

KIRA ESTIMATES

BACKLOG TO DELIVER

~KRW 91^{trn}

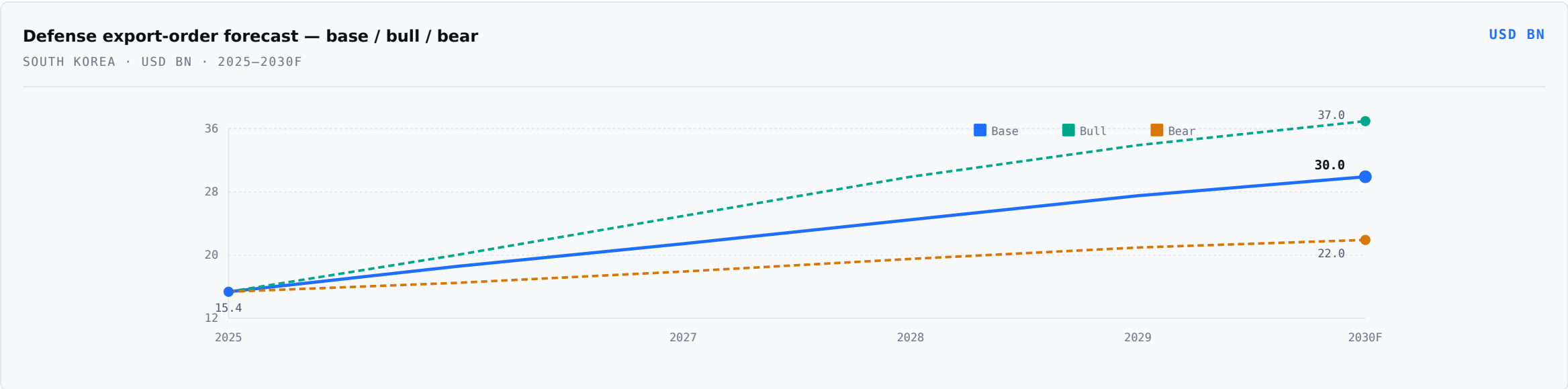
Throughput is the constraint

HERALD 2025

SOURCE KEY · Data Economy 2026 = Korea Data Economy News Cheongung-II 96% intercept & AI-defense report 2026 · Herald 2025 = Korea Herald K-defense Big-4 backlog report 2025

Toward USD 30 bn in orders by 2030 — execution sets the path.

Industry officials forecast overseas orders climbing toward **USD 30 bn by 2030** from an estimated USD 10 bn base [Modern Diplomacy 2025], in line with the top-four ambition. The variance is set by three levers: European follow-on conversion, Gulf and SEA pipeline maturation, and how fast localization commitments can be delivered without eroding margin.



BASE • MOST LIKELY

USD 30.0_{bn}

European follow-ons convert, the Gulf and SEA pipeline matures, and localization is delivered on schedule; orders track the official path to **~USD 30 bn by 2030** [Modern Diplomacy 2025], ~USD 30 bn [Kira estimates].

BULL • UPSIDE

USD 37.0_{bn}

Sustained European rearmament and major Gulf and Polish follow-on contracts push orders toward **~USD 37 bn by 2030**, near the Big-4 revenue trajectory [Kira estimates].

BEAR • DOWNSIDE

USD 22.0_{bn}

Localization slips, a Poland-payment or financing snag stalls conversion, and follow-ons thin; orders plateau near **~USD 22 bn by 2030** [Kira estimates].

SOURCE KEY • Modern Diplomacy 2025 = Modern Diplomacy Korea top-four defense / USD 30 bn 2030 ambition report 2025 • DAPA 2025 = DAPA 2025 export base

Methodology endnote and source mix

HOW TO READ THE NUMBERS

This view triangulates two evidence streams. Where a figure carries a **named source tag** — for example [DAPA 2025], [KED 2025], [SIPRI 2025] — the underlying data comes from that source, with the full citation listed opposite. Where a figure carries **[Kira estimates]**, our analysts derived it from a blend of disclosed inputs — procurement-agency export series, prime-contractor backlog disclosures, program contract values, and offset-partner reads — using the method noted in the relevant section.

Approximately **24% of quantitative claims are KIRA-derived**; 76% are externally cited. Annual export figures are on a DAPA basis in USD; company backlog and profit figures are in KRW as disclosed, on a quarter-end or full-year basis as labeled. Contract values reflect disclosed signed value and may span multi-year delivery.

Company 2025 figures reflect disclosed results and consensus estimates as of early 2026; some full-year profit figures are estimates pending audited accounts. The Middle East export series and the AI-leverage scoring are directional reads, not audited series. Forecast scenarios are KIRA constructions anchored to the 2025 export base and the official USD 30 bn / 2030 ambition. Korean-language sources are cited via English aliases for readability.

SOURCE LIST

DAPA 2025 — Defense Acquisition Program Administration, 2025 export results (USD 15.4 bn, +60.4%, country & project count)

Seoul Economic 2026 — Seoul Economic Daily, K-defense USD 15.4 bn, K9 export value & Poland Chunmoo reporting 2026

KED 2025 — KED Global, Hyundai Rotem K2 Poland second contract & K9 / FA-50 deal reporting 2025

KoreaBizwire 2026 — Korea Bizwire, K9 global market-share & user-club report 2026

Notes Poland 2026 — Notes From Poland, K2 domestic-production / localization agreement report 2026

UPI 2026 — UPI, K9 Europe / Finland deal report 2026

Herald 2025 — Korea Herald, K-defense Big-4 backlog, NATO-share & profit report 2025

Herald ME 2025 — Korea Herald, Middle East defense-export tripling report 2025

GDC 2025 — Global Defense Corp, Saudi Cheongung-II USD 3.2 bn report 2025

WashInst 2025 — Washington Institute, Korea-Middle East defense localization analysis 2025

KED VN 2025 / KED FA50 2025 — KED Global, Hanwha K9 Vietnam & KAI FA-50 Philippines deal reports 2025

Flight Global 2025 — Flight Global, KAI FA-50 / KF-21 orders & backlog report 2025

ArmyRec 2026 — Army Recognition, Philippines KF-21 delivery-request report 2026

Defence Blog 2025 — Defence Blog, Korean defense-firm record-profit report 2025

Data Economy 2026 — Korea Data Economy News, Cheongung-II 96% intercept & AI-defense report 2026

SIPRI 2025 / Modern Diplomacy 2025 — SIPRI arms-transfers commentary & Modern Diplomacy top-

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